

* By “net working capital,” Graham means a company’s current assets (such as cash, marketable securities, and inventories) minus its total liabilities (including preferred stock and long-term debt).

* From 1975 through 1983, small (“secondary”) stocks outperformed large stocks by an amazing average of 17.6 percentage points per year. The investing public eagerly embraced small stocks, mutual fund companies rolled out hundreds of new funds specializing in them, and small stocks obliged by *underperforming* large stocks by five percentage points per year over the next decade. The cycle recurred in 1999, when small stocks beat big stocks by nearly nine percentage points, inspiring investment bankers to sell hundreds of hot little high-tech stocks to the public for the first time. Instead of “electronics,” “computers,” or “franchise” in their names, the new buzzwords were “.com,” “optical,” “wireless,” and even prefixes like “e-” and “I-.” Investing buzzwords always turn into buzz saws, tearing apart anyone who believes in them.

* Defaulted railroad bonds do not offer significant opportunities today. However, as already noted, distressed and defaulted junk bonds, as well as convertible bonds issued by high-tech companies, may offer real value in the wake of the 2000–2002 market crash. But diversification in this area is essential—and impractical without at least \$100,000 to dedicate to distressed securities alone. Unless you are a millionaire several times over, this kind of diversification is not an option.

* A classic recent example is Philip Morris, whose stock lost 23% in two days after a Florida court authorized jurors to consider punitive damages of up to \$200 billion against the company—which had finally admitted that cigarettes may cause cancer. Within a year, Philip Morris’s stock had doubled—only to fall back after a later multibillion-dollar judgment in Illinois. Several other stocks have been virtually destroyed by liability lawsuits, including Johns Manville, W. R. Grace, and USG Corp. Thus, “never buy into a lawsuit” remains a valid rule for all but the most intrepid investors to live by.

¹ Lisa Gibbs, “Optic Uptick,” *Money*, April, 2000, pp. 54–55.

² Brooke Southall, “Cisco’s Endgame Strategy,” *InvestmentNews*, November 30, 2000, pp. 1, 23.

¹ “The Truth About Timing,” *Barron’s*, November 5, 2001, p. 20. The headline of this article is a useful reminder of an enduring principle for the intelligent investor. Whenever you see the word “truth” in an article about investing, brace yourself; many of the quotes that follow are likely to be lies. (For one thing, an investor who bought stocks in 1966 and held them through late 2001 would have ended up with at least \$40, not \$11.71; the study cited in *Barron’s* appears to have ignored the reinvestment of dividends.)